

WAIC KTA: Determined but More Pragmatic; Data/Semi in Focus

China's AI policies focus on open-source models, export of AI/compute to EMs, and int'l collaboration on standards/governance. Semis set to be the key driver. We see super nodes connected by optical modules/NPO, and 3D DRAM stacking, as emerging solutions. China is aggressively catching up on data generation/labelling and agent harnessing/productization. Robotics still a big theme, but with a pragmatically lower focus on humanoids. Top picks: AMEC, SMIC, VNET.

China's AI strategies focus on developing a China-friendly EM ecosystem. President Xi's address at the 2026 WAIC (his first attendance) indicates China's key strategy is to export AI/compute/green energy to EMs, which complements its One-Belt, One-Road program. Thus, Chinese AI players will likely have to maintain an open-source approach, which is less positive for monetization. Compute and, therefore, semi remain the key success factors in this strategy, implying a high likelihood of big foundry capex ahead. Given that China's Kimi 3 (by MoonShot) is now only 5% behind Anthropic's Fable 5 in terms of intelligence ([see here](#)), China's open-source approach is very likely to put pricing pressure on US closed-source models, but will also make China's models affordable for other EMs. In our view, this strategy could "kill two birds with one stone." We believe the most likely US response is to 1) tighten export controls to prevent AI chips from being diverted to China, and 2) require all US AI players to put anti-distillation features in their advanced models.

Supernode connected by optics and stacking DRAM on GPUs seem a popular roadmap for China. Huawei launched Atlas 950 SuperPoD, a supernode design connecting 1,024 Ascend 950 GPUs (next gen will be 8,192) using LPO (2,048 lower-powered optical modules). It offers memory bandwidth of 107.52 TB/s and 2 EFLOPs of compute, vs 20.7 TB/s and 1.4 EFLOPs (FP4) for NVIDIA's Vera Rubin NVL72. But it consumes 7.4x more power (1.7MW) than Rubin NVL72. Hence, we like China's IDC players. Moreover, we have seen two Chinese GPU players adopt 3D DRAM tech, stacking 4 layers of DDR5 on top of their GPUs using hybrid bonding in response to the HBM constraints. They believe this will deliver 20+ TB/s of bandwidth, similar to HBM4. Stacking will be done by Chinese OSAT players, and the DDR5 by CXMT. But these players' GPUs are based on only 14nm. Therefore, such 100%-localized solutions focus more on memory bandwidth than compute, likely driven by agentic AI inference demand. We see foundry capacity (both logic and memory) as the biggest investment areas to support China's AI strategies. Hence, we like AMEC and SMIC.

China catching up on data generation and agent harness capabilities. The US has led in data collection for AI. However, data availability is now a big challenge as text data has been exhausted, and the remaining data is mostly proprietary at the enterprise level. For the world model, real-life 3D data is hard to collect for individual AI players. Following the "data as a factor of production" policy in 2022, the Bureau of Data was created in Oct 2023. This year, it will likely establish a central SOE to facilitate the collection, labeling, and trading of high-quality and reliable datasets across industries. China is also in a strong position, as the cost of hiring local professionals/experts to verify/contribute datasets remains competitive. Moreover, Chinese AI players have offered agentic products with strong harnessing in context mgmt, sub-agent orchestration, tool utilization, guardrails, managing feedback loops, etc. Harness is as important as model intelligence for delivering strong agent performance.

Pls see P2 for AI smartphone and robotics.

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AI smartphone remains a big challenge. A Chinese AI player demonstrated a self-designed AI smartphone powered by the smartphone versions of its LLM (1bn-10bn data parameters) instead of a traditional OS (but the kernel is still Android) and made by an ODM. We believe OpenAI may want to do something similar. But we do not think the experience is differentiated enough (vs cloud-based services). The ecosystem could also be limited as major Internet players may block its APIs for security purposes, or to defend their own ecosystems. A lack of bargaining power in the hardware supply chain and high memory prices are additional challenges.

Robotics still a big theme with many players, but de-emphasizing humanoids is a realistic strategy. Robotics occupies ~25% of the WAIC's exhibition space, bigger than last year and thus still a very important AI theme for China. However, we saw a meaningful decline in the demo and exhibition of humanoids. The focus now is more on robots on wheels, which are lower-cost and easier to commercialize. We believe this means robotics players have become more pragmatic, suggesting lower risks for the sector. We have taken the view that humanoids are likely 5 years away, given challenges in compute (especially for China), memory (expensive), overheating, dexterous hands (miniaturization of power semi and motors), and reducers, etc. We believe robots on wheels are much less challenging to produce, competitive in terms of cost, and easier to commercialize.

Company Valuation/Risks

Advanced Micro-Fabrication Eqp Inc China

Our PT of Rmb415.00 is based on 80x/58x 2026E/27E P/E. Key risks include 1) further sanction from US Department of Commerce, 2) slower-than-expected customer capacity expansion, 3) slower-than-expected new customer acquisition outside China, and 4) slower-than-expected new tool development.

NVIDIA Corporation

Price Target: \$300 implies 21x our CY28E EPS of \$14.14.

Risks:

- Emerging competitive threats from INTC, AMD, and internally designed ASICs from Hyperscalers take share and pressure ASPs.
- Slowing datacenter capital spending from Enterprises and Hyperscalers.
- Slower-than-expected ramp of Automotive platform.

Semiconductor Manufacturing International Corporation

Our price target for the HK share is based on 4.0x 2026E P/B, and our price target for the A share is based on 7.0x 2026E P/B. Key risks include: 1) supply chain risk decelerating if the US continues to grant licenses to US SPE companies to supply SMIC with mature node equipment to deal with global chipset shortage, and 2) better-than-expected mature node demand driven by 5G, IOT, CIS, etc. resulting in further ASP increases.

VNET Group

Our price target is based on SOTP. Risks to our price target include slower-than-expected demand growth, failure to obtain sufficient power allocation from the government, and lower-than-expected pricing due to more intense competition.

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(Article 3(1)e and Article 7 of MAR)

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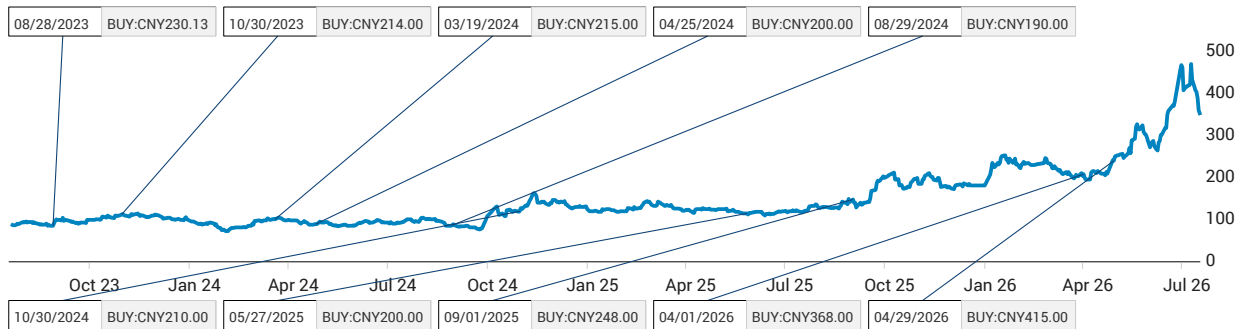
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Other Companies Mentioned in This Report

- Advanced Micro-Fabrication Eqp Inc China (688012 CH: CNY350.69, BUY)
- NVIDIA Corporation (NVDA: \$202.81, BUY)

- Semiconductor Manufacturing International Corporation (981 HK: HK\$67.70, BUY)
- VNET Group (VNET: \$7.39, BUY)

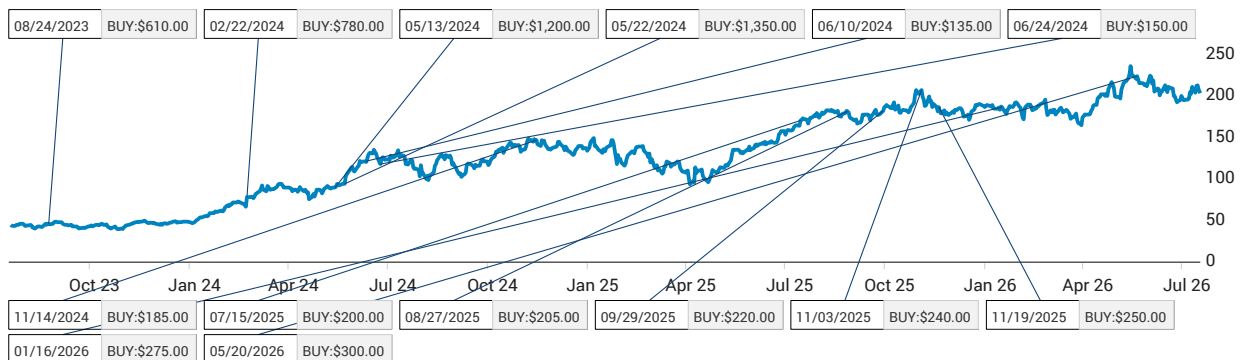
Rating and Price Target History for: Advanced Micro-Fabrication Eqp Inc China (688012 CH) as of 07-17-2026

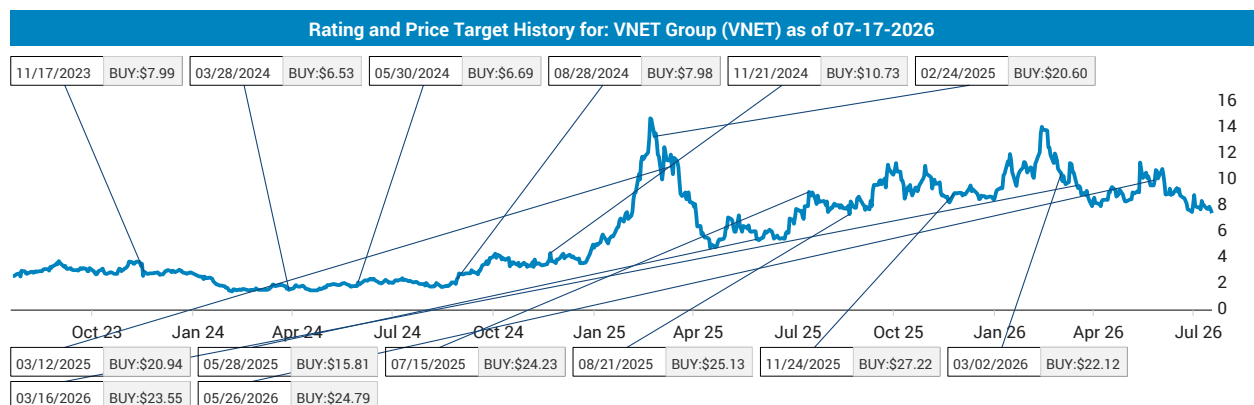


Rating and Price Target History for: Semiconductor Manufacturing International Corporation (981 HK) as of 07-17-2026



Rating and Price Target History for: NVIDIA Corporation (NVDA) as of 07-17-2026





Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

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D: Dropped Coverage

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H: Hold

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	Count	Percent	Count	Percent	Count	Percent
BUY	2237	62.63%	387	17.30%	110	4.92%
HOLD	1173	32.84%	94	8.01%	15	1.28%
UNDERPERFORM	162	4.54%	0	0.00%	0	0.00%

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